should the Sixth Circuit find them preserved. See *ante*, at 43. With that understanding, I join the Court's opinion.

JUSTICE THOMAS, with whom JUSTICE GORSUCH joins as to all but footnote 1, concurring in part and concurring in the judgment.

The Pung family lived in a modest home in central Michigan. They paid their property taxes on time and in full. When the local tax official wrongly assessed additional property taxes against them, they went to court and won. The tax official then assessed those same additional property taxes against them again, did not disclose that fact in the Pungs' tax bill, and initiated foreclosure proceedings. Although the additional tax bill would amount to only $2,242, the local government took the Pungs' entire home to pay it. It then sold the home and returned to the Pungs less than half of its value. The lower courts upheld the local government's actions. Today, this Court vacates and remands. I write separately about my preliminary view of the proper resolution of the Pungs' claims.[1]

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I

A

In 1991, Scott Pung bought a three-bedroom ranch-style home for himself, his wife, and their two children. The home sat on a little over half an acre of land in a suburban neighborhood in Union Township. Union Township is a small town in Michigan's Isabella County (County). Pung purchased the property for $125,000.

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[1] I join the Court's opinion as to all but Part II–B because I agree that the auction surplus from a tax foreclosure sale can constitute just compensation if it is consistent with historical practice, and because I agree that the parties should have the opportunity to litigate below whether the local government's conduct here was consistent with that practice.

The Pungs' home was their primary residence. Michigan imposes lower property taxes on primary residences than it does on second homes. Therefore, the Pungs applied for and received an exemption from the higher tax rate that applies to second homes.

The Pungs' home remained their primary residence going forward. When Scott Pung died in 2004, his wife Donnamarie continued to reside there. When Donnamarie died in 2008, her son Marc and his family continued to reside there. The home was continuously owned by Scott Pung's estate, of which Donnamarie and Marc were beneficiaries. The Pungs thus continued to be exempt from the additional property taxes imposed on second homes, and they paid every tax bill in full.

In 2010, after the home had been the Pungs' primary residence for 19 years, the Union Township tax assessor decided that the Pungs were subject to the additional property tax for second homes. She denied the Pungs' exemption for tax years 2007 through 2011. The assessor incorrectly believed that the Pungs were required by state law to file an updated affidavit establishing that the home was their primary residence, which they had not done, so she taxed them as if the home were their second home.

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The Pungs challenged the tax assessor's decision and won. A Michigan tax tribunal held that the Pungs did not owe additional property taxes. Instead, the tax tribunal confirmed that the Pungs were liable for the ordinary tax rate they had already paid for a primary residence. This ordeal cost the Pungs considerable resources, but they at least believed that their "troubles . . . were over." App. 111.

B

The tax assessor, however, chose to not respect the court's decision. "I don't care what he says," she said of the judge who ruled for the Pungs. *Id.*, at 61. Although nothing had changed after the tax tribunal's decision, the tax assessor

purported to tax the Pungs in 2012 what would eventually amount to $2,242 for those same additional second-home property taxes, related penalties, and interest. Even a decade later, before this Court, the County could not substantiate a legitimate basis for imposing this tax. When asked at oral argument, the County's attorney stated: "I don't know what the township assessor's reasoning was." Tr. of Oral Arg. 97.

The tax assessor imposed the additional tax in a manner that would make it more likely that the Pungs would become delinquent. The original tax bill sent to the Pungs for 2012 did not include the additional tax. The tax assessor imposed the additional tax only after sending out the original tax bill. The executor of the estate, Michael Pung, went to the township offices with a check to pay the full tax amount printed on his bill. At that point, a clerk informed him that an additional tax had been imposed on the estate. Michael explained that the additional tax was not due, brought Marc in with his driver's license to demonstrate to the clerk that the home was his primary residence, and paid the proper amount. The additional improper amount demanded by the township is apparently the only "unpaid" tax in the Pungs' history.

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The assessor reported the Pungs' property as delinquent. Then, the Township and Isabella County—whom I will collectively refer to as the County—began foreclosure proceedings. Although the Pungs paid the original tax bill in full, and did not owe the extra amount, the County gave the Pungs until March 31, 2014 to "redeem" the property by paying the supposed deficiency. The County stated that it mailed the Pungs notice of its intent to foreclose multiple times, but the Pungs stated that they did not receive the notices until after the deadline. They explained that if they "would have received notice," they "undoubtedly would have taken action to prevent the foreclosure." App. 72. In the meantime, the Michigan Court of Appeals affirmed the tax

tribunal's decision that the Pungs did not owe the additional property taxes. The County nonetheless persisted with its foreclosure effort.

The state court entered a default judgment of foreclosure against the Pungs' home in 2015. The judgment vested title to the home in the County treasurer. The Pungs moved to set aside the foreclosure judgment for insufficient notice. The trial court set aside the order because the County should have known that the Pungs had not received notice of the foreclosure proceedings and could have easily taken additional steps to inform them.

Rather than allowing the Pungs to keep their home, the County appealed. The Michigan Court of Appeals reversed, holding that the County sufficiently tried to notify the Pungs of its planned foreclosure. So, in June 2018, the Pungs permanently lost title to the home that they had owned for 27 years. The sole basis for the foreclosure was the additional property tax in 2012 that was not in their tax bill and not authorized by law.

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The County, having foreclosed on the Pungs' home, sold it. The County had determined that the fair market value of the Pungs' property for the purpose of property taxes—including the property taxes that formed the basis for this suit—was $194,400. But, when the County sold the Pungs' property, it sold it for only $76,008, under 40% of its fair market value. Less than 18 months after the auction, the new owner sold the property on the open market for $195,000, almost exactly its earlier assessed value.

Initially, the County kept all of the sale proceeds. When the Pungs went to federal court later, the court ordered the County to give them back $73,766, which represented the surplus proceeds beyond the amount that went to pay the extra tax. That means that even if the tax were proper—which it was not—the Pungs lost about $118,000 as a result of a supposed debt of $2,242.

On appeal, the Pungs argued that when the County took their $194,400 home based on the $2,242 debt, its payment of only $76,008 (including the amount credited to the Pungs' "debt") was not "just compensation" under the Takings Clause. The Sixth Circuit, constrained by prior panel precedent, denied the Pungs relief because the auction value was the "best evidence" of the fair market value of the property. *Pung* v. *Kopke*, 2025 WL 318222, *3–*4 (Jan. 28, 2025) (internal quotation marks omitted).

II

"[P]roperty is a natural, fundamental right." *Kelo* v. *New London*, 545 U. S. 469, 510 (2005) (THOMAS, J., dissenting). The "principal aim of society is to protect individuals in the enjoyment of those absolute rights, which were vested in them by the immutable laws of nature," including the "rights of private property." 1 W. Blackstone, Commentaries on the Laws of England 120, 135 (1765) (Blackstone). To that end, the Takings Clause of the Fifth Amendment provides that "private property" shall not "be taken for public use, without just compensation." "[I]t is 'imperative that the Court maintain absolute fidelity to' the [Takings] Clause's express limit on the power of the government over the individual, no less than with every other liberty expressly enumerated in the Fifth Amendment or the Bill of Rights more generally." *Kelo*, 545 U. S., at 507 (THOMAS, J., dissenting) (quoting *Shepard* v. *United States*, 544 U. S. 13, 28 (2005) (THOMAS, J., concurring in part and concurring in judgment)).

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The Takings Clause forbids the government from taking a person's property unless it provides "just compensation." In this case, all agree that the government took the Pungs' property and therefore owed the Pungs just compensation. See *Tyler* v. *Hennepin County*, 598 U. S. 631, 647 (2023). Just compensation generally requires paying fair market

value. Regardless of when exactly the history of tax foreclosure sales can justify a departure from that rule, my initial impression is that it cannot do so in this case.

A

Isabella County took title to the Pungs' property in 2015, then had that title made permanent on appeal in 2018. Under this Court's decision in *Tyler* v. *Hennepin County*, a foreclosure procedure such as the one employed here constituted a "taking under the Fifth Amendment." *Ibid.* Accordingly, the County owed the Pungs "just compensation." This case concerns only what "just compensation" means.

Just compensation ordinarily requires paying the owner the fair market value of his property. As Blackstone wrote, the government must provide "a full indemnification and equivalent for the injury thereby sustained." 1 Blackstone 135; accord, *Kelo*, 505 U. S., at 510 (THOMAS, J., dissenting). The owner must be placed "in as good position pecuniarily as he would have occupied if his property had not been taken." *United States* v. *Miller*, 317 U. S. 369, 373 (1943). In other words, "[h]e must be made whole." *Olson* v. *United States*, 292 U. S. 246, 255 (1934).

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To make the owner whole, "just compensation normally is to be measured by 'the market value of the property at the time of the taking.'" *United States* v. *50 Acres of Land*, 469 U. S. 24, 29 (1984) (quoting *Olson*, 292 U. S., at 255). Fair market value, a familiar legal concept, means what "a willing buyer would pay in cash to a willing seller." *Miller*, 317 U. S., at 374; see also Black's Law Dictionary 1871 (12th ed. 2024) ("The price that a seller is willing to accept and a buyer is willing to pay on the open market and in an arm's-length transaction; the point at which supply and demand intersect"). Anything less than fair market value is ordinarily not just compensation.

The Pungs did not receive fair market value. In this case, the fair-market-value analysis is straightforward because the

County itself already assessed the property's fair market value. The County assessed the fair market value of the Pungs' property at $194,400. "The principles governing the ascertainment of value for the purposes of taxation," this Court has explained, are the "same as those that control in condemnation cases, confiscation cases and generally in controversies involving the ascertainment of just compensation." *Great Northern R. Co.* v. *Weeks*, 297 U. S. 135, 139 (1936). Therefore, because the County "has already calculated the amount of just compensation in this case, when it [assessed] the [Pungs] the fair market value of the [home]," it "cannot now disavow that valuation" by asserting a lower value when it benefits the County. *Horne* v. *Department of Agriculture*, 576 U. S. 351, 370 (2015). "The full and true value of the property" as assessed for tax purposes is identical to "the amount that the owner would be entitled to receive as just compensation upon a taking of that property by the State." *Great Northern R. Co.*, 297 U. S., at 139. Perhaps for that reason, the County did "not challeng[e] . . . that the value of the property is at least $194,400." App. to Pet. for Cert. 29a. The Pungs received, when accounting for the credit, only $76,008. They therefore did not receive fair market value.

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The County initially argued, and the Sixth Circuit reasoned below based on its precedent, that the Pungs nonetheless received fair market value because a property is worth less when it is foreclosed upon. See 2025 WL 318222, *3 ("After all, 'the best evidence of a foreclosed property's value is the property's sales price' ").

That argument is mistaken. As this Court has already explained, fair market value "does not include . . . any element resulting subsequently to or because of the taking," such as government-initiated foreclose proceedings. *Olson*, 292 U. S., at 256. Because the foreclosure itself does not affect "elements of value that *inhere* in the property"—such as the land or the building—it cannot affect fair market value

in the relevant sense. *Id.*, at 255 (emphasis added). Likewise, the County may regret its taking and want to avoid losing money, but this Court's precedents also reject the notion that just compensation can take account of the County's interests or its desire to avoid losing money. "It is the owner's loss, not the taker's gain, which is the measure of the value of the property taken." *United States* v. *Causby*, 328 U. S. 256, 261 (1946).

B

According to the County, the government may depart from the fair-market-value rule whenever the government forecloses on the property based on a tax debt and then sells it at an auction. See Brief for Respondent 1–2. In such a case, the County argues, just compensation is measured by the amount for which the property sold at auction, not the fair market value. On this theory, if a taxpayer owes any taxes, then the government can take the entire property belonging to that taxpayer, sell it at auction at a vastly reduced price, and then return to the taxpayer only the "surplus." *Ibid.* Thus, for instance, if a family with a $400,000 property owed the taxing authority $1,000, the County could take their home, sell it for $1,000, and return nothing.[2]

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[2] This example is not farfetched. According to the *amicus* briefs submitted in this case, local governments engage in such practices with some regularity. For example, a West Virginia owner's $65,000 property was sold for $2,700 to satisfy an $80 tax lien; a Baltimore owner's $140,000 property was sold for $5,000 to satisfy a $2,500 tax lien; and a Nebraska owner's $59,000 property was sold for $588 to satisfy his $588 tax lien. See Brief for Maryland Legal Aid et al. as *Amici Curiae* 1. In Washington, D. C., the average property sold based on a tax lien sold for $17,400, while the average tax-assessed value of the underlying properties was $578,100. *Id.*, at 9; see also Brief for Chamber of Commerce of the United States as *Amicus Curiae* 9 (describing case where $300,000 property was sold for $1,213). The Federal Government has also been known to abuse the eminent-domain power. See, *e. g.*, N. Y. Times, June 30, 2010, section A, p. 16 (describing the confiscation of the homes of a thriving community of black landowners in Harris Neck, Georgia).

1

This Court has previously held that the rule that just compensation means fair market value admits of only two exceptions, neither of which applies here. "'Just compensation,' we have held, means in most cases the fair market value of the property on the date it is appropriated." *Kirby Forest Industries, Inc.* v. *United States*, 467 U. S. 1, 10 (1984) (quoting *United States* v. *564.54 Acres of Monroe and Pike County Land*, 441 U. S. 506, 511–513 (1979)). "Other measures of 'just compensation' are employed only 'when market value [is] too difficult to find, or when its application would result in manifest injustice to owner or public.'" *Kirby Forest Indus., Inc.*, 467 U. S., at 10, n. 14 (quoting *United States* v. *Commodities Trading Corp.*, 339 U. S. 121, 123 (1950)); accord, *Brown* v. *Legal Foundation of Wash.*, 538 U. S. 216, 244 (2003) (Scalia, J., dissenting) ("Our cases have recognized only two situations in which [the fairmarket-value] standard is not to be used: when market value is too difficult to ascertain, and when payment of market value would result in 'manifest injustice' to the owner or the public").

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No party argues that either of these "only" two exceptions applies to this case. *Kirby Forest Indus.*, 467 U. S., at 10, n. 14. It is not "too difficult to find" the "market value" of an ordinary suburban home; the County already did so in assessing the amount of the tax that the Pungs owed. Likewise, there is no injustice, let alone manifest injustice, in paying the Pungs in full for their home.

This case thus implicates a new exception for tax foreclosure sales. The County argues that the history of tax foreclosure sales supports its conduct here. I agree that sufficient historical evidence can justify an exception to the fair-market-value rule, and I join the Court's opinion on that basis. But, any exception based on history can be no broader than what that history justifies. And, on my initial view, any history of tax foreclosure sales reflects a greater

respect for principles of just compensation than the County showed the Pungs here.

2

Historically, tax foreclosure sales were subject to strict limits. These limits, among other things, protected the property rights of the homeowner and helped to avoid a conflict between tax foreclosures and the Takings Clause. "[G]reat strictness [was] required; and . . . the provisions of law preparatory to and authorizing such sales," had to be "punctiliously complied with." T. Cooley, Law of Taxation, Including the Law of Local Assessments 325 (1876) (Cooley) (internal quotation marks omitted). Tax foreclosure sales, it was said, "deserve no indulgence from the court," and "he who claims under a forfeiture must shew that the law has been exactly complied with." *Wilsons* v. *Bell*, 34 Va. 22, 24 (1836).

Two related limits are most relevant when the government takes an entire home to pay for a small tax debt, as it did to the Pungs. First, the government had to try to sell the taxpayer's personal property before it moved on his real property. "[B]efore the power to sell the land can exist," the government was required to first show "the demand . . . and return of no goods." R. Blackwell, A Practical Treatise on the Power to Sell Land for the Non-Payment of Taxes 28 (4th ed. 1875). "The power [to sell land] exists only where there are no goods." *Scales* v. *Alvis*, 12 Ala. 617, 620 (1847). This principle had roots in Chapter 9 of the Magna Charta, in which the King promised: "Neither We nor Our bailiffs shall seize any land or rent for any debt so long as the debtor's chattels are sufficient to discharge the same . . ." A. Howard, Magna Carta: Text and Commentary 39 (rev. ed. 1998).

American foreclosure law long imposed a similar requirement. "Until [the personal property] has been exhausted, no authority exists to go further." Cooley 307; accord, *e. g.*, 1792 N. C. Sess. Laws p. 23, § 5 (government can "sell the

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[debtor's land] or so much thereof as shall be sufficient for the payment of the taxes due," but only if he first found that the debtor had "no visible personal property on which the Sheriff can distrain"); Miss. Code, Art. 1, § 20, p. 902 (1848) ("No writ of [seizure] shall be levied on lands and tenements, if personal property sufficient to satisfy such execution be tendered to the sheriff, or other officer, by the debtor"). The tradition recognized that it is especially unjust to take a man's home to settle a small debt when selling personal property would do.

Second, before foreclosing on a delinquent taxpayer's entire property, the government had to pursue only part of the property first. As this Court explained in *Tyler*, "[i]n collecting taxes, the new Government of the United States could seize and sell only so much of [a] tract of land . . . as may be necessary to satisfy the taxes due thereon." 598 U. S., at 640 (internal quotation marks omitted). "'[I]f a whole tract of land was sold when a small part of it would have been sufficient for the taxes,'" then "'the collector unquestionably exceeded his authority.'" *Ibid.* (quoting *Stead's Executors* v. *Course*, 4 Cranch 403, 414 (1808) (Marshall, C. J., for the Court)). Thus, a small property tax bill such as the Pungs' would not justify an immediate sale of the entire property. See also, *e. g.*, Cooley 343; *Martin* v. *Snowden*, 59 Va. 100, 147 (1868).

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If the government did not attempt to sell either part of the property or personal property first, then the taxpayer could reclaim his property or compensation for the taking. "A sale of the whole when less would pay the tax," such as the County's sale here, "is void." Cooley 343; accord, *Slater* v. *Maxwell*, 6 Wall. 268, 274 (1868) ("The sale of the entire tract in one body would have vitiated the proceeding, if bids could have been obtained upon an offer of a part of the property"). A property owner in the Pungs' position was entitled to relief from the government in trespass or trover for taking more than was necessary to repay the debt. See

Denton v. *Carroll*, 4 App. Div. 532, 537, 40 N. Y. S. 19, 22 (1896) ("When several chattels are seized, and enough have been sold to satisfy the [tax] demand, the sale of the remainder is a trespass, and the officer becomes liable"); *Cone* v. *Forest*, 126 Mass. 97, 101 (1879) ("It is well settled that an officer is answerable in trover for property sold on execution, after he has realized money sufficient to satisfy his writ"); Cooley 564 ("[T]he collector is liable as a trespasser *ab initio* . . . if, having sold enough to satisfy the tax, he proceeds to sell more").

The measure of damages for a trespass or trover action based on improper foreclosure procedures was fair market value—which may explain how foreclosure sales could exist in harmony with the Takings Clause. See, *e. g.*, *Gilson* v. *Wood*, 20 Ill. 37, 39 (1858) ("[T]he measure of damages [in trespass] is, what the property is proven to have been worth at the time it was taken and carried away by the defendant" (internal quotation marks omitted)); *Burns* v. *Campbell*, 71 Ala. 271, 291 (1882) ("The measure of damages in actions for trespass to goods, where the taking is unlawful without more, is generally *the value of the goods*, or the amount of injury done to them, as the case may be, *with interest* to the date of judgment"); *Gove* v. *Watson*, 61 N. H. 136, 137 (1881) ("In an action of trover, the value of the property at the time of the conversion (with interest after) is in general the measure of damages. A return and acceptance of the property after conversion . . . go only in mitigation of damages"). Even after the foreclosed-upon property had been sold, the former owner could sue to reclaim fair market value if these limits had not been adhered to. See, *e. g.*, *Seekins* v. *Goodale*, 61 Me. 400, 404–405 (1873) (holding that officer who sold more cloth than needed to cover debt was liable in trespass for their full value).

Here, the County did not try to collect anything less than the entire property—such as the Pungs' personal goods,

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their car, or a portion of their land. Instead, for a mere $2,242 debt, the County proceeded immediately to the seizure of the Pungs' entire $194,400 home. So, although the County invokes history and tradition to justify its departure from the fair-market-value rule, its actions here seem to have departed from that history and tradition. The parties below had not addressed these questions at summary judgment because the dispute at that stage concerned the County's antecedent argument that it did not take the Pungs' house at all. See 632 F. Supp. 3d 743, 747 (ED Mich. 2022). The County did not argue in the alternative that, if it took the Pungs' house, the taking should be valued at anything other than fair market value. See Response by Defendants in *Pung* v. *Kopke*, No. 1:20–cv–13113 (ED Mich.), ECF Doc. 12. Accordingly, in my view, these issues should remain open on remand.

The County's procedure also appears to have departed from historical limits in other ways. Historical tax foreclosure procedures included rigorous notice requirements, which helped ensure that the foreclosed upon taxpayer had a clear opportunity to preserve his property. See, *e.g.*, Cooley 334–337. But here, the township based its foreclosure on a tax that it imposed after sending the Pungs their tax bill, then foreclosed on the property despite the Pungs' statement that they did not receive notice of the delinquency and would have promptly paid it—as they had paid all of their other taxes—if they had received notice. Historical tax foreclosure sales also included rigorous procedures to ensure that the auction price of whatever property was sold matched, as nearly as possible, the fair market value of that property. See *id.*, at 305–309, 315–319; see also, *e. g.*, *Clute* v. *Barron*, 2 Mich. 192, 194–196 (1851); *Cocks* v. *Izard*, 7 Wall. 559, 562 (1869); *Cahoon* v. *Coe*, 57 N. H. 556, 597–598 (1876); *Gelfert* v. *National City Bank of N. Y.*, 313 U. S. 221, 231 (1941). But here, the County sold the property in an auction that

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generated less than half of its assessed value and less than half of what it sold for on the market again less than 18 months later.

3

The County's response is that if it is not able to take people's homes and sell them at auction in the manner that it did here, it will not be able to efficiently collect taxes. It argues that a fair-market-value rule would impede "the government's ability" to foreclose on homes in order to collect delinquent taxes. Brief for Respondent 26.

In my view, that is the point of the Takings Clause, which necessarily prioritizes homeowners' property rights over the government's interest in efficiency and public necessity. "William Blackstone wrote that 'the law of the land . . . postpone[s] even public necessity to the sacred and inviolable rights of private property.'" *Kelo*, 545 U. S., at 505 (THOMAS, J., dissenting) (quoting 1 Blackstone 134–135). Whatever utilitarian desire the State may have for a tax-collection system that effectively confiscates citizens' homes based on small tax debts, citizens such as the Pungs have an antecedent and higher right to those homes.

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III

The government exists to protect property; property does not exist to support the government. "[O]ne of the most certain tests of the character and value of the government" is "the fulness and sufficiency of the securities which surround the individual in the use and enjoyment of his property." *Monongahela Nav. Co.* v. *United States*, 148 U. S. 312, 324 (1893). What Isabella County did to the Pungs was wrong, and, on my initial view, likely unconstitutional.